PARTNERSHIPS AND FUNDING FOR AFRICA'S AGRICULTURAL RENAISSANCE

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Africa's agricultural sector, which employs over 60% of the continent's workforce and holds the potential to feed not just its people but the world, stands at a crossroads. Yet, it grapples with a staggering US$117 billion financing gap for smallholder farmers and Agricultural Small & Medium Enterprises.

Reimagining agricultural finance for Africa's growth

As world leaders converge in Johannesburg for the 2025 G20 Summit - the first on African soil - under South Africa's presidency, this is our moment to reimagine partnerships and funding mechanisms. By prioritising agricultural finance and bolstering South-South trade agreements, we can unlock sustainable growth, enhance food security, and drive inclusive prosperity.

South Africa's G20 theme, 'Fostering Solidarity, Equality, and Sustainable Development,' resonates deeply with Africa's aspirations. The continent's youth bulge and untapped arable land, over 60% of the world's uncultivated arable soil, position it as a global breadbasket. But realising this vision demands innovative funding. Traditional lenders often shy away from agriculture's perceived risks: weather volatility, limited collateral, and high transaction costs. Enter blended finance, a game-changer that marries public guarantees with private capital to de-risk investments. A good example is the Africa Agriculture and Trade Investment Fund (AATIF), a public-private vehicle backed by Germany's KfW and the European Union (EU) with EUR 30 million in first-loss capital. AATIF channels loans to local banks and agri-SMEs, boosting employment and incomes across value chains from Kenya's maize fields to Senegal's horticulture hubs.

This model isn't isolated. The Alliance for a Green Revolution in Africa (AGRA) brokers collaborations between governments, financiers, and entrepreneurs, deploying grants and technical aid to scale digital solutions like mobile money for input purchases. In Tanzania, AGRA's digitally enabled mechanisation has aligned incentives for smallholders, revolutionising livelihoods by reducing costs and increasing yields. Similarly, the International Fund for Agricultural Development (IFAD) partners with entities like Germany's BMZ to accelerate private investments in inclusive agrifood systems, targeting 6.5 million euros for sustainable data science centres by 2029. These initiatives demonstrate how targeted funding — blending grants, guarantees, and impact investing can catalyse US$10 in private lending for every US$1 of public risk-sharing, as seen in AGRA's facilities with banks like Equity in Kenya.

Strengthening South-South trade for agricultural prosperity

Yet, finance alone won't suffice without markets to absorb Africa's bounty. Here, South-South trade agreements emerge as the vital bridge, fostering equitable exchanges among emerging economies. BRICS+, now encompassing giants like Brazil, India, China, and new entrants such as Egypt and Ethiopia, represents half of global agricultural output and imports. Yet, intra-BRICS agricultural trade hovers at a modest 8% of South Africa's exports, despite the bloc's US$255 billion annual import appetite. Imagine soybeans from Zambia flowing tariff-free to India's processing plants, or South African citrus reaching China's tables without the 14% duties that hobble our producers — duties waived for competitors like Australia under bilateral pacts.

South Africa's BRICS chairmanship in recent years laid the groundwork, securing avocado access to China and lifting beef bans, injecting millions into rural economies. But we need more: a dedicated BRICS agricultural trade pact to slash tariffs, harmonise phytosanitary standards, and prioritise value-added exports. This aligns seamlessly with the African Continental Free Trade Area (AfCFTA), which could boost intra-African trade by 33% and halve the continent's trade deficit. Pairing AfCFTA with South-South deals creates a multiplier effect. Nigerian processors sourcing Ethiopian coffee inputs, financed via AATIF-like funds, while exporting finished goods to India.

Seizing the G20 moment for Africa's agricultural future

At the G20, South Africa must champion these synergies. The Finance Track should advance debt relief for low-income nations and free budgets for agri-investments. Drawing from Brazil's climate-smart agriculture and Indonesia's green finance successes, we can integrate digital tools, like weather-indexed insurance, to build resilience.

The stakes are profound. By 2050, Africa's population will double, demanding 70% more food. Partnerships that fund smallholders, women and youth leading 80% of farms, aren't just economic; they're existential. Let Johannesburg 2025 be the pivot where solidarity turns potential into plenty, where South-South ties weave a tapestry of shared abundance. Africa's fields are fertile; now, let's sow the seeds of collective action.



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